

Shri G.S Institute of Technology And Science



Technical Report

How To Make Use of Cryptocurrency Safe in India

2021-2022

Submitted to -

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1. Front Matter:

(i) Cover page



**SHRI GOVINDRAM
SEKSARIA INSTITUTE OF
TECHNOLOGY AND SCIENCE**

**HOW TO MAKE
CRYPTOCURRENCY
SAFE IN INDIA**

(ii)Frontis piece



ii.

iii. Title Page:

HOW TO MAKE USE OF CRYPTO CURRENCY SAFE IN INDIA



iv.

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Letter of Transmittal

To

The Director
S.G.S.I.T.S Indore

Date:- 10/06/2022

Ref. no. :-SGSITS/12121/2022

Subject:- Letter of transmittal on "HOW TO MAKE USE OF CRYPTO CURRENCY SAFE IN INDIA".

Respected sir,

This letter is in reference to your letter no. SGSITS/12121/2022 in which you have asked us to make analytical study on crypto currency safe in India. We would like to present our finding and recommendations concerning the same. We hope that this report will give you an insight into the crypto currency and its effects on people. We hope that this report grants enough information that facilitates proper decision-making.

Thanking you

Yours Sincerely :-

- Yashraj Jiswal -11055
- Atchyut Sharma -11056
- Sahil Dayani -11057
- Ankit Singh -11058
- Sangam Uikey -11059
- Sachin Ahirwar -11060

Preface

This report aims to analyze the block chain as another class of thing. due to rapid development many activities in our daily life have been merged online and they have became more flexible and effective in this series of sequence crypto is an emerging concept based on block-chain technology, like the Internet a comprehensive information technology with tiered technical level and multiple classes of applications for any form of asset registry , inventory , and exchange , including every area of finance , economics , and money ; hard as sets (physical property , homes , cars).

and intangible assets (votes , ideas , reputation , intention , health data , information , etc.) But the block chain concept is even more . it is a new organizing paradigm for the discovery, valuation , and transfer of all quanta (discrete units) of anything , and potentially for the coordination of all human activity at a much larger scale than has been possible before.

We would appreciate criticism and suggestions for improvement of the report from our readers.

Acknowledgement

" Thanking opens the doors to greater success and opportunities "

We would like to express our thankfulness towards all those who have helped us in the preparation of this report. Our Director, Prof. Rakesh Saxena Sir for providing us this opportunity . Special thanks to Dr. Sarika tiwari Ma'am and all the other teachers for guiding us through this report and answering our queries from time to time .

We would also like to take this opportunity to thank our parents , whose constant support and guidance .

Let us untiringly to the consummation of this report .

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v. Abstract/ Summary

Abstract

Due to the rapid development of information and communication technologies, many activities in our daily lives have been merged online. They become more flexible, more efficient, and more effective. The huge growth in the number of online users has activated virtual word concepts and created a new business phenomenon: a cryptocurrency to facilitate financial activities such as buying, selling, and trading. Cryptocurrency represents valuable and intangible objects which are used electronically in different applications and networks such as online social networks, online social games, virtual worlds, and peer-to-peer networks. This paper aims to analyze the ways to make cryptocurrency safer in India.

Summary

Despite the Indian government's debatable stance on crypto assets, cryptocurrency investments in India are still increasing.

Low internet costs, rising real estate prices, and increased taxation on metals like Gold and Silver also seemed to have contributed to the paradigm shift of investing intangible assets.

Moreover, the introduction of cryptocurrency brought an unprecedented degree of latitude for people as young as 18 years of age to invest and grow their portfolios.

The high inflation rates in India along with the restrictive and non-streamlined modes of investment presented a golden opportunity for visionary entrepreneurs to set up cryptocurrency exchanges in India.

The most favored cryptocurrency, judging from the market cap, is the OG token – Bitcoin (BTC). However, many argue that Ether (ETH), the native token of the Ethereum network could soon replace Bitcoin.

2 . Main Text:

(i).INTRODUCTION

There is no doubt that the era of information and communication technologies has created many golden opportunities in several aspects. One of the fields that benefit from these technologies and online connections is the financial and business sector. Thus, new types of trading, transactions, and currencies have been arising one being cryptocurrency. A cryptocurrency is a digital or virtual currency that is secured by cryptography, which makes it nearly impossible to counterfeit or double-spend.

The paper explores many aspects of Cryptocurrency platforms attempting to answer the main questions of this research which are “Why Cryptocurrency?” It investigates different Cryptocurrency platform to provide a deep inside. It also analysis on “Is it safe to invest in crypto from India?” and lastly to put awareness on “How to use crypto”. Finally, the last section making a summary and suggestions for further research work

(ii).DISCUSSION

- Why Crypto ?

The following properties of the cryptocurrency are the valid reasons / factors are the answers of this question “why cryptocurrency?”

- ❖ Transactional Properties of Cryptocurrency

Since cryptocurrencies are implemented using rigorous and secure protocols, they also support the following transactional properties:

- **fast and global** — Second generation cryptocurrency transactions can be quickly propagated and confirmed by the network internationally within a couple minutes. Third generation cryptocurrencies, currently being rolled out, will soon reduce this propagation time to seconds.
- **secure** — Cryptocurrency funds are strongly encrypted at rest, and in transit, using a proven secure public key cryptography system. Only the owner of the private key for a cryptocurrency wallet, which has a unique internet address, can send cryptocurrency.
- **irreversible** — After a cryptocurrency transaction is confirmed, it cannot be undone.
- **permissionless** — Cryptocurrency software is typically free and open source; anyone with an Internet connection can download and use it without requesting permission.
- **anonymous** — Most first and second generation cryptocurrency transactions are pseudonymous, where crypto coins are sent and received to lengthy random character addresses. However, since sender/receiver addresses and IP addresses can be encrypted on the blockchain (e.g., Monero cryptocurrency), future cryptocurrency transactions can potentially become fully anonymous.

❖ **Disruptive Properties of Cryptocurrency**

Given their synergistic monetary and transactional properties, cryptocurrencies have the potential to disrupt traditional financial and legal services:

- **more stable than traditional fiat currencies** — Since the circulating and maximum supplies of cryptocurrency coins are mathematically defined, as opposed to being whimsically manipulated by Central Bankers, cryptocurrencies can potentially displace world reserve currencies as safe havens during times of financial uncertainty.
- **more efficient financial funds transfer than traditional banks** — Since cryptocurrency protocols are potentially both cheaper and faster than traditional financial funds transfer mechanisms (bank wire transfers, automated clearinghouses, credit cards), they have the potential to strongly displace the latter.
- **"smarter" contracts than traditional financial contracts** Since many second and third generation cryptocurrency blockchains have been extended with customizable programmable logic for financial transactions ("smart contracts"), smart contracts have the potential to displace many kinds of common financial contracts (e.g., POs, invoices, escrows) in the near future.

(ii) **IS IT SAFE TO INVEST IN CRYPTO FROM INDIA?**

Though trading and investing in cryptocurrency is becoming immensely lucrative and popular in India, but considering the lack of regulatory laws and taxation policies, the Reserve Bank of India (RBI) has not yet granted it a status of legal tender or legitimate currency in India.

Just like many countries in the world, India also doesn't have a clear and concrete stand on the usage, investment and trading of cryptocurrency. While the government hasn't promoted the existence of cryptocurrency in India, it hasn't even clearly illegalised it. Moreover, there are speculations in the market that the government may even put a ban on cryptocurrency and this will undoubtedly make the investors suffer heavy losses.

However, keeping in mind all the bureaucratic risks and focusing on the fact that owning cryptocurrency is still not considered illegal in India, a large number of young investors and traders are choosing to take the risk in order to get a high return on their investment in cryptocurrency.

Safe To Invest In Cryptocurrency In India

As mentioned, due to the current legality issues and lack of crypto laws that will help you protect your investment from hackers, loss of passwords, loss of device, malware or ransom attacks and cyber frauds which may result in permanently losing your money, it is definitely not the right time to invest in cryptocurrency, especially for investors who are looking for a safe and secured means of investment.

However, considering the cryptocurrency investment purely from an investment point of view, the risks involved in the cryptocurrency investment are higher than the risks involved in investing in stocks, securities, commodities and mutual funds. The biggest difference between the two is that volatility in the cryptocurrency market is very high compared to the traditional market. So, there are chances that you may get a fortune from your investments or you may even lose a fortune.



So, it's important for investors to only invest in cryptocurrency when they have a higher risk-taking capacity and the patience to hold their invested amount for the long term.

Currently, as the number of people investing in cryptocurrency is very limited and therefore even a minor change in the factors affecting its value can result in a drastic rise or fall. But eventually, it is believed to reduce as the number of investors increases.

And as the investors are getting educated about cryptocurrency and its ability to act as a hedge to protect fiat currencies and equities along with its immunity against the inflation rates, the number of investors who find it safe to invest in cryptocurrency in India is constantly increasing.

(iii) **HOW TO USE CRYPTO?**

Cryptocurrencies are still a rather new and emerging technology. They tend to be digital coins with volatile value points, making them risky but potentially lucrative investments.

Because crypto is still so fresh in the mind, there have been many grey areas and questions about its uses and implementations. Still, [Canada is now cracking down on crypto](#), and the digital currency is no longer immune to regulations and scrutiny. Consensus is being established and rulebooks better defined, which in the long run is a good thing.

After all, stronger parameters mean that newcomers are more likely to step into the rewarding world of crypto. As that interest builds, opportunities arise, and these digital currencies can move from strength to strength with constantly renewed vigour. Of course, if you're contemplating whether to get into crypto, you may have one or two questions about the nature of your prospects and well-being. Can you be comfortable partaking here? Read on for some tips on how to use cryptocurrencies safely.

Review The Laws

Cryptocurrencies are not legal tender in Canada. Moreover, banks do not distribute them or facilitate their use.

However, this does not mean that Bitcoin, Ethereum, and all the rest are unanswerable to the law.

Try to review what is required of you lawfully when engaging with cryptos. For example, you must keep records of all your cryptocurrency transactions. The same is true for accounting, legal, and software costs and the value of the crypto in Canadian dollars at the time of transaction.



More is expected of you as well with tax implications. Ultimately, it is best to do some independent research for your circumstances. That way, you can be sure you are meeting all of your obligations and not jeopardizing your prospects.

Of course, reviewing legal matters can also give you an enormous amount of peace of mind as well. If crypto is something that you are still somewhat sceptical about, knowing precisely what mandatory responsibilities you have to fulfil can help you organise your crypto affairs a little more assuredly.

- *Beware of Phishers*

Scams are prevalent throughout society. Most people assume that it is only the elderly and vulnerable that are targeted by those behind these malicious schemes.

Nevertheless, some crypto enthusiasts have been cheated out of their digital coins before. There is a lot to be lost here, and it is certainly not an easy situation to deal with, so being vigilant on the phone and in your emails is crucial.

Suspicious communications should be reported and blocked by any means you have at your disposal. It may also be a good idea to save the contact information of the dubious individuals who contact you – that way, you can create a reliable database of all the names and addresses to avoid.

Try to read around the subject a little more so that you can see what other

people are experiencing in crypto fraud. These types of reality checks might just will you into action a little sooner and harder. Realise you can be duped anywhere and anytime, be prepared for anything, and fight for what is yours.

- **Use Secure Wallets**

The storage of your cryptos is vital. Most people use digital wallets, which are essentially hardware, to store their digital currency either offline or online.

The best bet here is to work with a reputable crypto exchange that can provide custodial wallets for you. That way, you can have peace of mind knowing that your assets are safe. Some services will also charge you more for a higher level of security, so if you're willing to pay that fee, it'd certainly be worthwhile.

Otherwise, you may need to do some digging around. The level of quality can vary enormously from exchange to exchange, so it doesn't hurt to take your time in fielding your options before you start making moves on the crypto scene.

Some crypto traders take a hybrid approach to their storage uses. Some will use a blend of hot and cold wallets or merge them with others and custodial wallets, depending on how many investments they are making. If you can spread out your resources, you'll be a far harder target to steal from.

Keep Learning

As previously mentioned, cryptos are a new technology in the grand scheme of things. New measures and means are introduced all of the time.

If you want to stay safe when using cryptocurrencies, staying informed is crucial. Which cryptos are currently the best to buy and sell? Are some more volatile than others? Which stores and trades people accept crypto for the payment of goods and services? All of these factors can influence how viable your investments will be, yet they can all change daily.

Never lose that learner's mentality. Stay humble, even if you make seismic amounts of

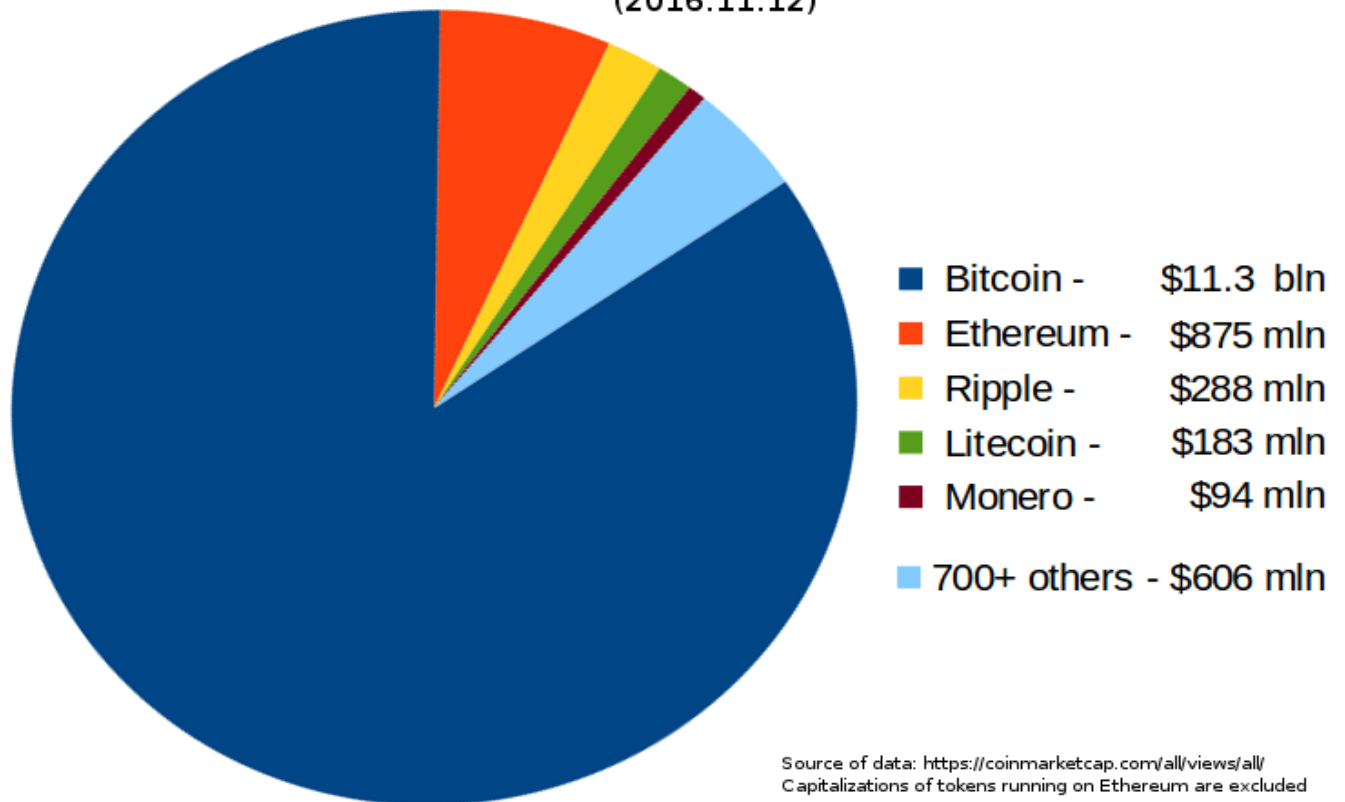


money by selling your digital coins. Remember, cryptocurrencies are tools that cannot be wielded on a whim, and you must constantly respect them just as much as you do the dollar. Otherwise, you will only incur losses.

Even if you have sought guidance from a reputable online resource, real-world mentors can be useful as well. Do you have any friends, family, or colleagues who have bought and sold cryptos? Decide carefully who you wish to trust, and start a dialogue with them.

Facilitate those discussions over time as new developments occur. You may learn from their experiences and mistakes and put yourself on a better path here. In the end, crypto is a community, so integrate yourself into it fully.

Crypto-currency market capitalizations (2016.11.12)



iii. CONCLUSION

1.

It is crucial to understand that cryptocurrency has gained global momentum. In the year 2020, Bitcoin saw a huge boost in valuation, as a result of which many new investors exhibited a strong inclination towards it.

2.

It is interesting to note that the benefit of cryptocurrency was highlighted in the Draft National Strategy on Blockchain, 2021, published by the MEITY. It said that blockchain technology provides transparency, security and efficiency in business operations and enables a layer of trust over Internet in a unique way, which was first tried for cryptocurrency application, Bitcoin.

3.

Cryptocurrency was also recognized among the potential applications of Blockchain. Thus, there is also a need for Indian authorities to unify their stand in this regard. The RBI policies are manifestly different than the observations made by MEITY.

4.

As we are in a generation where more and more technological advances are bound to take place, each advancement will invariably entail certain threats. It is important to keep upgrading the law to keep it consistent with modern developments. A

iv. RECOMMENDATIONS

1. As cryptocurrency needs to be regulated, undoubtedly. However, the PMLA as it currently exists is wholly insufficient to deal with money laundering via cryptocurrency and there can be two procedures to tackle this insufficiency.

2. It may be regulated by amending section 2(s)(sa) 【58】 of the PMLA to include cryptocurrency business persons within the meaning of "person carrying on designated business or profession."

3. An effective legislation can be enacted with an autonomous body as the watchdog, to affect safe utilisation of the currency. India should responsibly anticipate that decentralised and unregulated cryptocurrencies to be violative of the fundamental right to trade guaranteed under the Constitution.

APPENDIX

- List of some of the crypto currency in popular uses with there market capital .(*given data is valid on the date of 10/06/2020)

Rank	Name	M. Cap
1	 BTC Bitcoin	\$700.49B
2	 ETH Ethereum	\$302.11B
3	 USDT Tether	\$78.15B
4	 BNB BNB	\$61.27B
5	 USDC USD Coin	\$49.80B
6	 ADA Cardano	\$34.15B
7	 SOL Solana	\$28.59B
8	 XRP XRP	\$27.99B
9	 LUNA Terra	\$18.53B
10	 DOGE Dogecoin	\$18.39B

- Given below there are Name of some crypto currency with there symbols .



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GLOSSARY

D

DUBIOUS :

not sure or certain

J

JEOPARDISING

to do something that may damage something or put it at risk.

L

LUCRATIVE

producing a great deal of profit.

M

MONERO

it is a digital currency that offers a high level of anonymity for users and their transactions.

P

PSEUDONYMOUS

writing or write under a false name.

S

SCEPTICAL

not easily convinced ,having doubts or reservations.

W

WHIMSICAL

playfully quaint or fanciful, especially in an appealing and amusing way.

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